

Democratic Socialist Republic of Sri Lanka

Procurement Manual 2024

Summary - Goods, Works & Non-Consulting Services

National Procurement Commission | Prepared for quick reference

Chapter 01	General Principles & Ethics
•	Establishes governing principles to ensure value for money with integrity, efficiency, fairness, transparency, and accountability in public procurement.
•	Public procurement is part of Public Financial Management (PFM) and must align with the Financial Regulations and PFM Act.
•	Applies to all Ministries, Departments, Public Corporations, Local Authorities, and government-majority-owned companies.
•	Officers must maintain the highest integrity; fraud, corruption, collusion, and coercion are strictly prohibited under the Anti-Corruption Act No. 09 of 2023.
•	Conflict of interest must be declared and the officer must disassociate from any procurement where a conflict exists.
•	All committee members must sign a declaration of non-collusion and confidentiality before proceedings begin.
Chapter 02	Governance & Procurement Committees
•	The National Procurement Commission (NPC) oversees and regulates all public procurement in Sri Lanka.
•	Chief Accounting Officers (CAO) and Accounting Officers (AO) are responsible for procurement within their institutions.
•	Procurement decisions are made through committees: HLPC, SHLPC, MPC, DPC, PPC, and RPC - each with defined authority limits.
•	Bid Evaluation Committees (BEC) and Acceptance Committees (AC) support the process with independent technical assessment.
•	Committee members receive prescribed allowances for attending meetings; rates differ by committee level.
	HLPC - High Level SHLPC - Standing High Level MPC - Ministry DPC - Department PPC - Project RPC - Regional
Chapter 03	Procurement Methods & Types
•	ICB - International Competitive Bidding: for high-value or complex procurements open to international bidders.
•	NCB - National Competitive Bidding: for procurements where local competition is sufficient.
•	Shopping/RFQ - For low-value, routine procurements via price quotations from multiple suppliers.

•	Direct Contracting - Permitted only in specific justified circumstances (single source, emergency, proprietary items).
•	Emergency Procurement - A streamlined process for urgent national needs with strict documentary justification.
•	Community Participation - Allows communities to directly participate in works contracts for local projects.
•	Bidding procedures include: Single Stage One Envelope, Single Stage Two Envelope, and Two Stage processes.

--

Chapter 04	Procurement Planning
-------------------	-----------------------------

•	Every Procuring Entity must prepare a Master Procurement Plan (3-year horizon) and detailed annual plans aligned to their action plan and budget.
•	A Procurement Time Schedule (PTS) must be prepared for each procurement, showing milestone dates from start to contract award.
•	Total Cost Estimate (TCE) must be prepared before bidding; amendments require prior approval from the relevant authority.
•	Contracts must not be artificially split to avoid procurement thresholds (anti-slicing rule).
•	General Procurement Notices must be published in advance to alert the market of upcoming procurements.

--

Chapter 05	Procurement Documents
-------------------	------------------------------

•	Standard Procurement Documents (SPDs) issued by the NPC must be used as templates to ensure consistency and compliance.
•	Documents must clearly state eligibility and qualification requirements, evaluation criteria, bid validity period, and bid security requirements.
•	Bid security (bank guarantee or cash deposit) is required to prevent withdrawal of bids within the validity period.
•	Conditions of contract, performance security, price adjustment, advance payment, retention, and liquidated damages terms must be clearly defined.
•	VAT treatment must be explicitly addressed in procurement documents.
•	Dispute resolution mechanisms must be included in all contracts.

--

Chapter 06	Procurement Process
-------------------	----------------------------

•	Procurement notices must be published widely; documents are made available for purchase up to one day before bid submission deadline.
•	Bidding periods are defined by procurement method and contract value - minimum times must be strictly observed.
•	Late bids are rejected without exception, regardless of reason.
•	Bid opening is conducted in public; all bidders or their representatives may attend; a formal record (minutes) is maintained.

•	Complaints during the evaluation process must be formally handled through defined channels.
Chapter 07	Bid/Proposal Evaluation
•	The BEC evaluates bids strictly against pre-disclosed criteria - no new criteria may be introduced post-submission.
•	Evaluation stages: completeness check → substantial responsiveness (commercial) → substantial responsiveness (technical) → financial comparison.
•	The winning bid is the substantially responsive lowest evaluated bid - not necessarily the lowest price quoted.
•	Domestic preference margins may be applied for locally manufactured goods under defined conditions.
•	All evaluation proceedings are strictly confidential until the contract award is published.
•	A formal Bid Evaluation Report (BER) must document all findings and recommendations.
•	All bids may be rejected if none meet the requirements or if prices are unreasonably high - with documented justification.
Chapter 08	Contract Award
•	The Procurement Committee is responsible for recommending the contract award based on the BER.
•	A standstill period (typically 10 days) is observed after notification to allow bidders to raise objections before formal award.
•	Aggrieved bidders may appeal to the Procurement Appeal Board (PAB) or relevant Procurement Appeal Committee at ministry/department/regional level.
•	A formal Letter of Acceptance (LOA) is issued to the winning bidder; a Contract Agreement is signed thereafter.
•	Contract awards above defined thresholds must be publicly published.
Chapter 09	Contract Management
•	The Procuring Entity is responsible for managing contract execution - ensuring delivery on time, to specification, and within cost.
•	New conditions must not be introduced after contract award; management is governed strictly by the signed contract.
•	A Variation Review Committee (VRC) must be appointed to review and approve any proposed changes (variations) to contract scope, time, or cost.
•	Payments are made only after adequate supervision and assessment of work or delivery.
Chapter 10	Sanctions, Debarment & Blacklisting
•	Bidders/suppliers/contractors who violate procurement guidelines or contract terms may be sanctioned, debarred, or blacklisted.

•	Public officers found guilty of misconduct in procurement are subject to disciplinary action under the Anti-Corruption Act No. 09 of 2023.
•	A formal debarment procedure must be followed - providing the accused party an opportunity to respond before a final decision.
•	Sanctioned entities are listed and barred from participating in future government procurements.
Chapters 11–15	Special Procurement Topics
•	Essential Requirements (Ch 11): Special procedures for spare parts, vehicle repairs, periodicals, and fuel procurement.
•	Information Systems (Ch 12): Tailored rules for IT/software procurement, including proprietary systems, complex engineering, and pre-qualification of IT vendors.
•	e-GP (Ch 13): Electronic Government Procurement - ICT-based procurement is to be adopted by procuring entities progressively.
•	Public-Private Partnerships (Ch 14): Guidance for PPP arrangements involving private sector participation in public services and infrastructure.
•	Sustainable Procurement (Ch 15): Directs entities to integrate environmental and social sustainability criteria into procurement decisions.

Note: This document is a quick-reference summary of the Sri Lanka Procurement Manual 2024 published by the National Procurement Commission. It should always be used alongside the full Manual and Procurement Guidelines 2024 for binding procedural detail.